OPERATIONAL VALUE CREATION PLAYBOOK

100 Days to a Measurable Senior Living Turnaround

North Texas acquisition case | Independent analyst plan | November 2026

Mission and operating guardrails

Preserve resident dignity, safety and clinical coverage. Establish clean operational and financial data. Improve occupancy, collection quality and capital productivity. Every revenue or cost initiative is subordinate to licensed staffing, care plans and regulatory compliance.

Priority	Day 100 evidence standard
Clinical	All high-severity safety matters have an accountable owner, escalation and tracked closure.
Cash	Resident counts reconcile to recurring billing, collections and the property general ledger.
Growth	Weekly movement through lead, tour, deposit and move-in stages by community.
Labor	Agency and overtime tracked alongside safe acuity-adjusted staffing hours.
Capex	Every renovation item approved against a costed scope and lease-readiness objective.
Returns	Actual operating performance replaces the acquisition hypothesis in an IC refresh.

Phase-based execution

Timing	Actions and proof point
Day 0-15	Protect residents and validate baseline. Clinical staffing, licenses, surveys and incident log review. Daily resident safety escalation and rent-roll-to-cash reconciliation.
Day 15-30	Diagnose occupancy and unit availability. Build lead response, tour conversion and move-in dashboard. Inspect vacant units. Review five or more market comps.
Day 30-60	Improve revenue quality. Resolve permitted care-charge underbilling, reduce avoidable concessions, improve move-in handoffs and restore resident / family trust.
Day 30-75	Increase staffing productivity safely. Review role coverage, shift scheduling and agency reliance. Maintain mandated clinical coverage and prohibit unsafe labor cuts.
Day 45-90	Deploy prioritized renovation capital. Approve unit-turn budgets and contractor milestones. Track capex per ready-to-lease unit and disruption to existing residents.
Day 60-100	Create repeatable reporting. Weekly property scorecard for census, cash collections, NOI, agency labor, retention, adverse events and DSCR.
Day 90-100	Re-underwrite and make a capital decision. Replace assumptions with actual T3 performance and approved capex. Update bid ceilings and financing reserve requirements.

Management cadence and accountability

Cadence	Meeting / artifact	Owner
Daily, Days 0 to 30	Clinical safety issues, incident escalations, move-ins/outs, open shifts	Executive Director + Director of Nursing
Weekly	Community occupancy and sales funnel; labor, agency, NOI variance, capex and resident experience	Asset Manager + Regional Ops
Biweekly	Revenue-cycle review, aged receivables, care billing audits, unit-turn and marketing ROI	Controller + Revenue Manager
Monthly	CFO package: T3 cash variance, debt service, maintenance reserve, covenant outlook	Controller / Finance
Day 45	Investment budget and operating-reset approval with evidence of safe staffing	IC / Clinical Leadership
Day 100	Updated investment committee memo and rolling 12-month forecast with operating results	Investments + Asset Mgmt

KPI definitions that prevent gaming

KPI	Numerator / denominator, or definition
Physical occupancy	Move-in-ready occupied licensed residential units / all usable licensed units. Report maintenance blocks separately.
Economic occupancy	Net actual rent collections / full-contract rent opportunity. Explicitly disclose discounts, bad debts and write-offs.
Net resident movement	New residents less departures by month, with length-of-stay and acuity cohorts.
Staffing adequacy	Acuity-adjusted required licensed care hours compared with assigned and delivered care hours.
Agency labor exposure	Agency labor hours / total delivered care labor hours. Pair with patient-safety indicators.
Operating margin	Property NOI / revenue, clearly identifying management fees, reimbursements, allocations and capital reserves.
DSCR	Trailing NOI / scheduled interest plus principal, subject to actual lender definitions.
Unit-turn cost	Approved capital per rent-ready vacant residence; include time to completion and safety sign-off.

Approval gates and escalation

Any evidence of unsafe staffing or licensing noncompliance is escalated immediately. Labor reductions are prohibited until the clinical lead documents adequate patient coverage. Renovations require signed contractor proposals and budget approval. The investment committee reviews and approves updated underwriting assumptions after operational evidence is collected.

Day 100 scorecard template

This is a proposed management reporting template. No actual property data have been provided. Replace status and measurements only after obtaining evidence.

Metric	Target / standard	Current	Owner
Resident safety / major citations	0 unresolved critical risks	Unverified	Clinical lead
Licensed-shift coverage	100% legally required	Unverified	Nursing director
Physical occupancy	Actual census by property	Unverified	Executive Director
Net move-ins	Monthly move-ins less move-outs	Unverified	Sales lead
Staff overtime / agency	Agency hours share and overtime cost	Unverified	Regional Ops
Billing reconciliation	0 material unresolved GL differences	Unverified	Controller
Renovation capex	Committed and spent vs approved	Unverified	Facilities
Portfolio NOI	Actual T3 / budget variance	Unverified	CFO
Debt service coverage	Lender covenants confirmed	Unverified	Finance
Proposed re-underwriting	Complete by Day 100	Not started	Investment analyst

Connection to investment model

The underwriting workbook assumes that the North Texas portfolio stabilizes toward 93% occupancy over 24 months, with 3% annual resident rate growth and an illustrative 60% LTV senior loan. These assumptions should not become targets simply because the initial model uses them. Instead, the weekly operating scorecard should drive forecast revisions, capex rescoping and lender compliance analysis.

Model-triggered re-underwriting

Refresh the base and downside model whenever monthly occupancy trails the signed business plan, average care-acuity costs increase, staffing coverage is inadequate, the annualized DSCR approaches a documented covenant, or renovation forecast-to-complete exceeds the approved budget.

Source and status

Independent plan based on public Cima announcements dated September 29, 2026 and April 15, 2026, plus an illustrative acquisition model. No actual community operating information has been supplied.